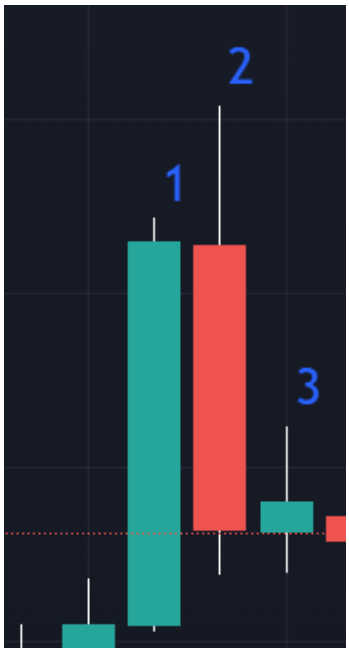
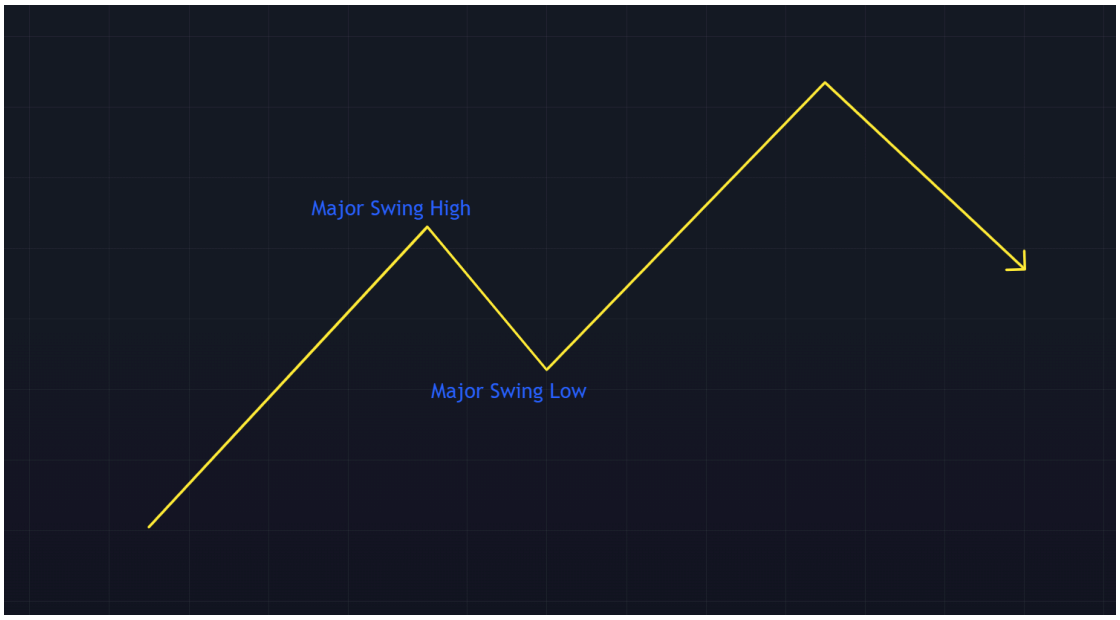
Trading Quant notes

Swing level is a combination of 3 candles. A swing high is a combination of three candle with 2nd candle being higher than first and 3rd candle. As shown in the pictures below

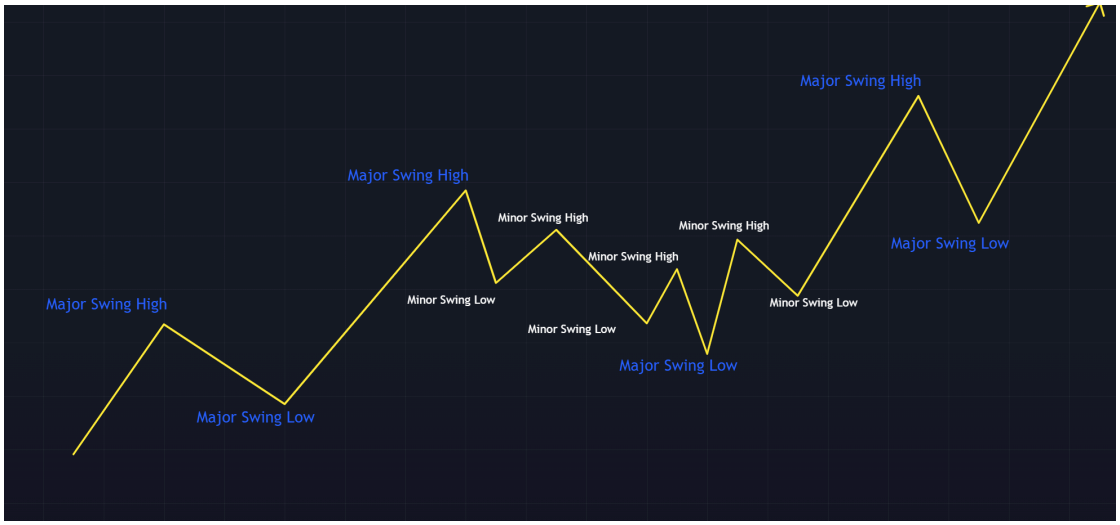


Similarly Swing low is opposite, with the 2nd low lower than 1st and 3rd candle. This v and ^ shaped structures are the building blocks of market structures that is Swing levels. Colour of the candle does not matter.

There are two types of swing levels, Major swing level and Minor Swing Level



Major Swing Levels are the Swing levels that broke the previous Market structures. Major Swing Low is the Lowest Swing Low of the Leg that broke above A Major Swing high. Major Swing High is the highest high of the leg after it breaks above a previous major swing high. Major Swing Low is only a Major swing low unless it breaks a previous Major Swing High. Otherwise It's a minor swing Low. Ever other Swing Highs and Lows except for the Major Swing levels are Minor swing levels.



Major swing levels determine the trend, when we talk about higher highs and higher lows , this is the highs and lows that matters, others are noise/not relevant

for the overall trend but only micro structures

I generally look for a displacement only around major swing levels. Suppose if market is going up, then it's not supposed to break the previous latest formed major swing low. It can break any number of minor swing lows, but not a major swing low, if it does, there is a probability that market will either stall or reverse. Vice versa for down trends.